

10.2 PROTECTIVE PUT STRATEGY

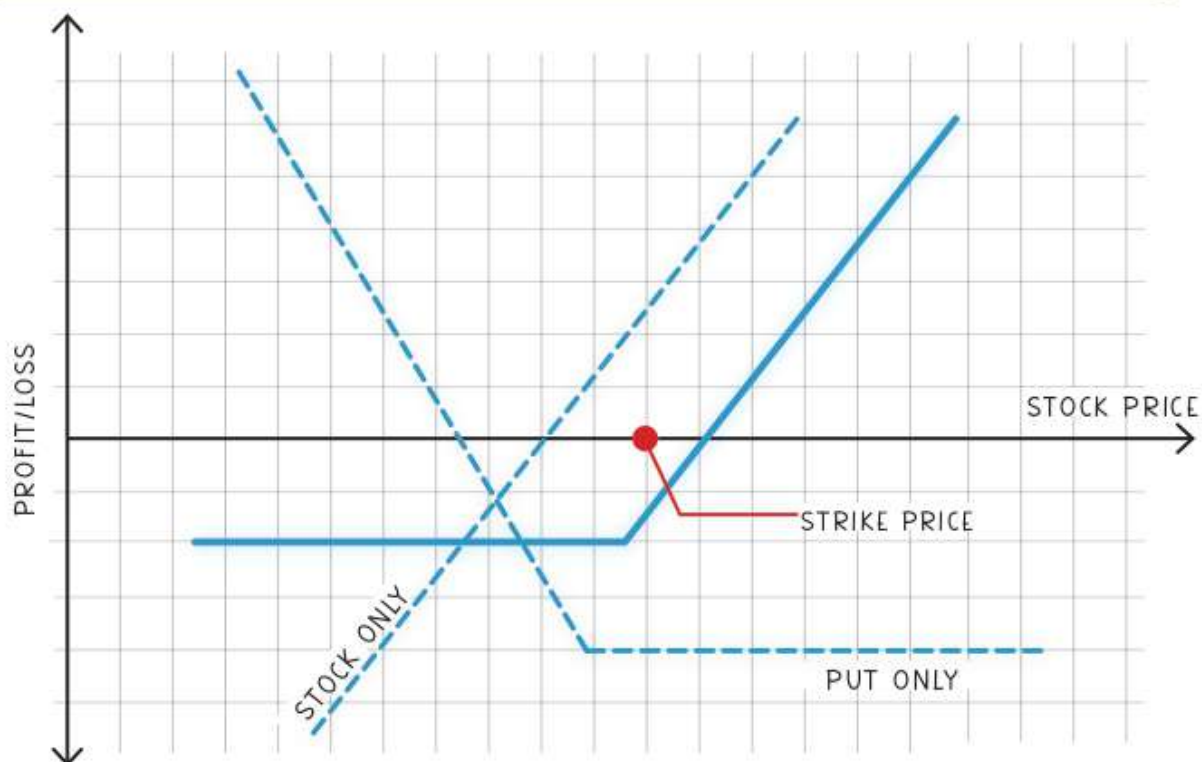


Explainer Video

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PROTECTIVE PUT STRATEGY IS A RISK MANAGEMENT STRATEGY THAT USES A PUT OPTION TO INSURE A POSITION IN ANY STOCK OR INDEX. IT LIMITS THE DOWNSIDE THAT A POSITION MAY HAVE WHILE KEEPING THE UPSIDE INTACT. HOWEVER, PROTECTIVE PUT COMES AT A COST I.E. PREMIUM.

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The protective put strategy is also called **Married put or Synthetic call**. The name synthetic call is used for this type of strategy because it behaves like a call option only, but since it is not a straightforward call but a combination of assets that have risk-reward like a call would, it is called a synthetic call.

